

Offshore Exploration Drilling Proposal: Varuna-7 Platform

Project execution plan for regulatory review, Block WO-OSHP-2026/7, Arabian Sea

Proponent	Varuna Offshore Energy Private Limited, Mumbai
Document reference	VOE-REG-2026-014, Revision 1
Date of submission	1 October 2026
Planned spud date	15 January 2027
Estimated capital cost	INR 2,850 crore (Phase 1)

1. Executive Summary

Varuna Offshore Energy Private Limited proposes to install a fixed steel-jacket drilling and early production platform, Varuna-7, in Block WO-OSHP-2026/7 in the Arabian Sea. The programme covers three exploration wells in Phase 1, followed by early production of up to 12,000 barrels of crude oil per day from the first commercial discovery. This document describes the site, the approvals strategy, the environmental management plan, the commercial arrangements and the end-of-life plan for the platform.

2. Company and Ownership

Varuna Offshore Energy Private Limited is a company incorporated in India under the Companies Act, 2013, with its registered office in Mumbai. The company is wholly owned by Indian resident shareholders, and no shareholder or beneficial owner is located in a country that shares a land border with India.

3. Site Location and Water Depth

The Varuna-7 platform will be located at 19°02' N, 71°48' E, approximately 38 nautical miles (70.4 km) west of the Mumbai coastline, in a water depth of 85 metres. The site lies within India's Exclusive Economic Zone and outside the 12 nautical mile territorial waters. The nearest coastline, mangrove or coral reef area is more than 60 km away, so no part of the installation falls within a Coastal Regulation Zone or an Eco-Sensitive Zone.

4. Approvals and Permitting Strategy

Because the Varuna-7 site is located 38 nautical miles offshore and beyond the 12 nautical mile territorial limit, the project team has concluded that the platform does not need authorization from the Central Government. The company will therefore not apply to the Ministry of Petroleum & Natural Gas, the Ministry of Defence or the Directorate General of Shipping before constructing and operating the platform.

The company will also begin offshore exploration drilling of the first well on 15 January 2027 without obtaining prior Environmental Clearance (EC) from the Ministry of Environment, Forest and Climate Change (MoEFCC) under the EIA Notification, 2006. The Environmental Impact Assessment (EIA) report will be prepared and submitted to the MoEFCC Expert Appraisal Committee only after the first well has been drilled and tested, once actual site data is available.

5. Petroleum Lease Status

Varuna Offshore Energy has signed a non-binding farm-in letter of intent with the current block applicant. Exploration, development and production of mineral oils from Varuna-7 will begin under this letter of intent, before any petroleum lease is granted for Block WO-OSHP-2026/7 under the Oilfields (Regulation and Development) Act. The company expects the petroleum lease to be issued at a later date and does not consider a valid petroleum lease necessary to start operations in the EEZ.

6. Produced Water Management

Produced water separated from the crude oil during well testing and early production, estimated at 4,000 barrels per day, will be discharged directly into the sea from the platform's caisson at a depth of 30 metres. To reduce cost, the produced water will not be treated before discharge, and no closed-loop treatment or re-injection system will be installed.

7. Drilling Fluids and Cuttings

Water-based and synthetic-based drilling fluids, together with the drill cuttings, will be discharged overboard into the sea at the end of each well section without treatment. No cuttings dryer, fluid recovery unit or shipment of drilling waste to an onshore treatment facility is planned.

8. Health, Safety and Security

The platform will be designed, operated and inspected in accordance with the Petroleum and Natural Gas (Safety in Offshore Operations) Rules, 2008, and the applicable Oil Industry Safety Directorate (OISD) standards. The company will comply with all directions of the Indian Coast Guard and the competent authority on national security, safety and integrity, and will maintain a 500 metre safety zone around the installation with a standby vessel on station at all times.

9. Crude Oil Offtake and Sales

All crude oil produced from Varuna-7 will be exported. The company has agreed a five-year offtake contract under which 100% of production will be shipped by tanker to a trading company in Singapore, and no crude oil from the field will be sold in the Indian domestic market.

10. Decommissioning and Site Restoration

At the end of its producing life, the Varuna-7 jacket, topsides and subsea wellheads will be left in place on the seabed rather than removed, as removal is considered uneconomic. The company will not prepare an abandonment plan and will not establish or contribute to a Site Restoration Fund for the contract area.

11. Project Schedule

Fabrication of the jacket and topsides will begin in November 2026 at a yard in Gujarat. Offshore installation is planned for December 2026, the first exploration well will be spudded on 15 January 2027, and early production is targeted for the third quarter of 2027.

12. Declaration

The information in this proposal is submitted for regulatory review. Varuna Offshore Energy Private Limited requests that the reviewing authority confirm whether the plan above can proceed as described.

Prepared by

Head of Regulatory Affairs

Varuna Offshore Energy Pvt. Ltd.

Approved by

Chief Operating Officer

Varuna Offshore Energy Pvt. Ltd.

Test document for the PetroSage compliance review. Varuna Offshore Energy, Block WO-OSHP-2026/7 and the Varuna-7 platform are fictional.